



TEAM DT GEEKS



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Quick Commerce Market in India

India's quick commerce sector grew by almost 150% year-on-year in the first five months of 2025.

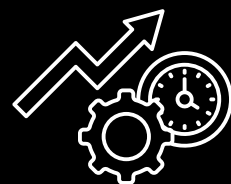
The market reached over ₹64,000 crore (US \$7.44 billion) in FY25, with an astounding Compound Annual Growth Rate (CAGR) of 142% between FY22 and FY25.

It is projected to nearly triple from ₹64,000 crore in FY25 to approximately ₹2 lakh crore (US \$23.25 billion) by FY28.

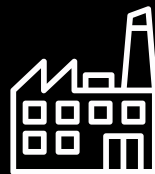
In 2024, over two-thirds of all e-grocery orders and one-tenth of e-retail spend occurred on quick commerce platforms.

Monthly Transacting Users (MTUs) for quick commerce could reach 128 million by 2031

Declining Mall Foot Traffic



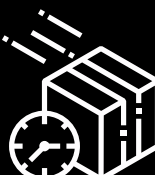
Operational and Logistical Pressures:
1. Inability to Match Delivery Speeds
2. Inventory Management Complexities
3. High Operating Costs



Limited Infrastructure for Expansion



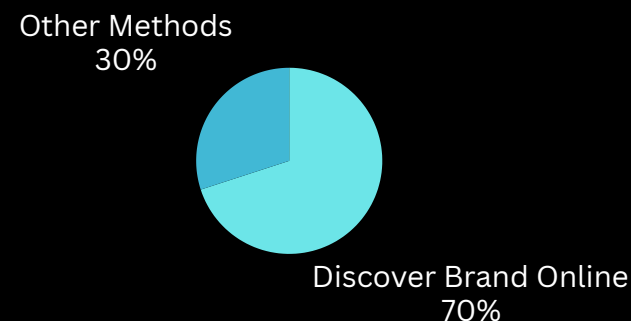
Returns Management Burden



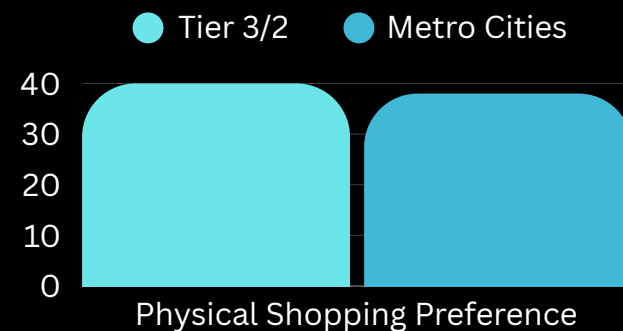
The Scale of Unused Inventory
1. General Retail & Fashion Industry
2. Indian Apparel Retail Specifics

Indian Consumer Behaviour

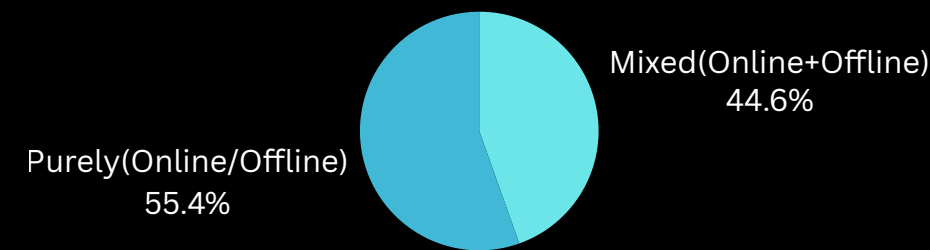
Zen z Brand Discovery



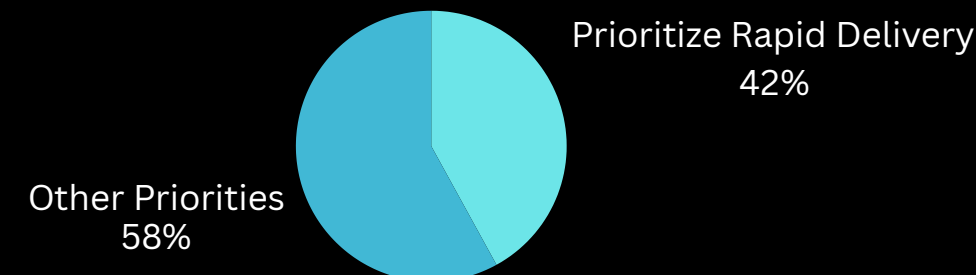
Fashion & Accessories: Physical Store Preference



Overall Indian Consumer preference of shopping channels



Metro & Tier 1 Consumers: Rapid Delivery Priority for Urgent Needs



Benchmark



Nike SB Hyperlocal Delivery Pilot

Increase Nike SB sales by creating a "hyper-local, bespoke inventory and fulfillment experience".

Logistics Supporting Quick Delivery

Regionalization of Distribution, two-day delivery standard, Connected Inventory Strategy

Advanced Technology Integration

AI and Machine Learning, Automation and Robotics

Shifting Consumer Expectations

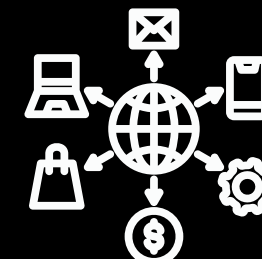
- Demand instant gratification.
- Quick commerce disruption.
- 10-20 min deliveries



Declining Mall Relevance:
• Inconsistent footfall.
• Underutilized store assets.
• Operational mismatch.

Financial & Inventory Strain:

- Excess stock burden.
- Obsolescence risk.
- Fragmented omnichannel.



Indian Consumer Behaviour

COVID 19 and Impact

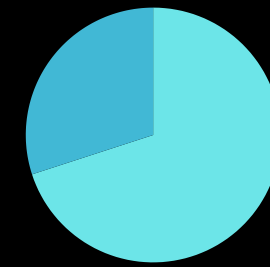
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Quick Commerce Market in India

Need for Brands to have Stores

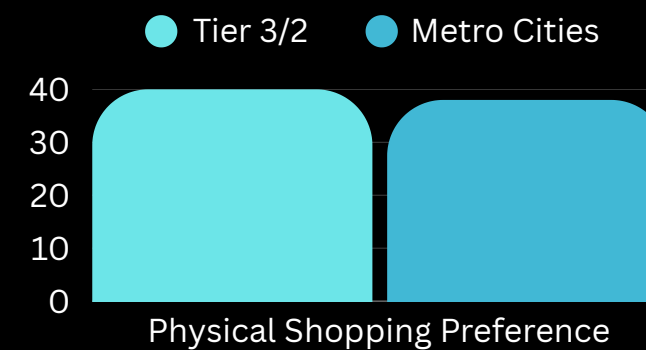
Managing this new model and supply chain

Other Methods
30%

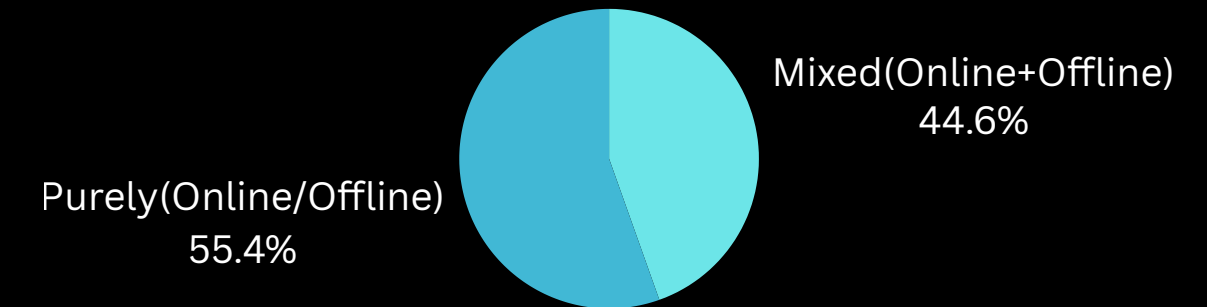


Discover Brand Online
70%

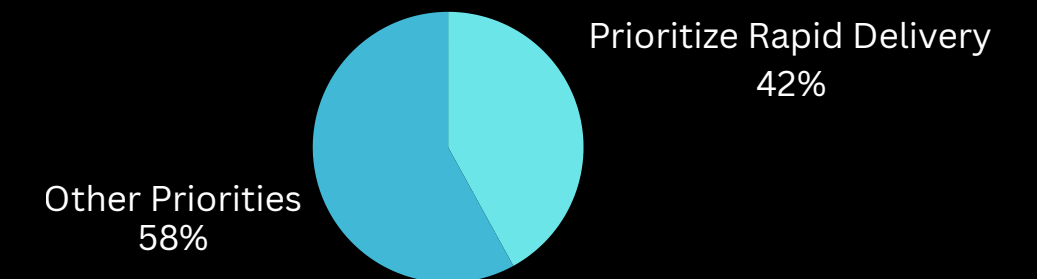
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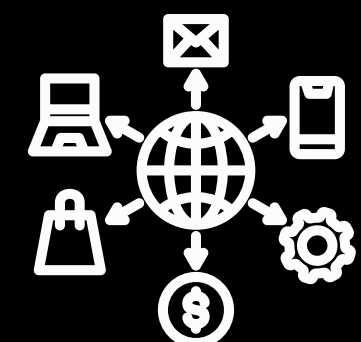
Problem Statement

Shifting Consumer Expectations
Demand instant gratification.
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Objective

Design a Hybrid Retail + Micro-Fulfillment Model ("Mall 2.0"): To strategically transform mall-based brand outlets into dynamic.

Enable Rapid Fulfillment: To facilitate 1-2 hour deliveries for online orders directly from mall stores, leveraging existing inventory

Preserve In-Store Customer Experience and Optimize Inventory & Space Utilization

Ensure Financial Viability and Protect Brand Aesthetics & Experience

A viable Go-to-Market Strategy

The following dashboard contains conceptualisation of the proposed tool for decision-making It comprises various *modules* like:

1.Feasibility study

- Store viability
- Local opportunity
- Quick Commerce Indicators
- Final scorecard

2. Store Blueprint

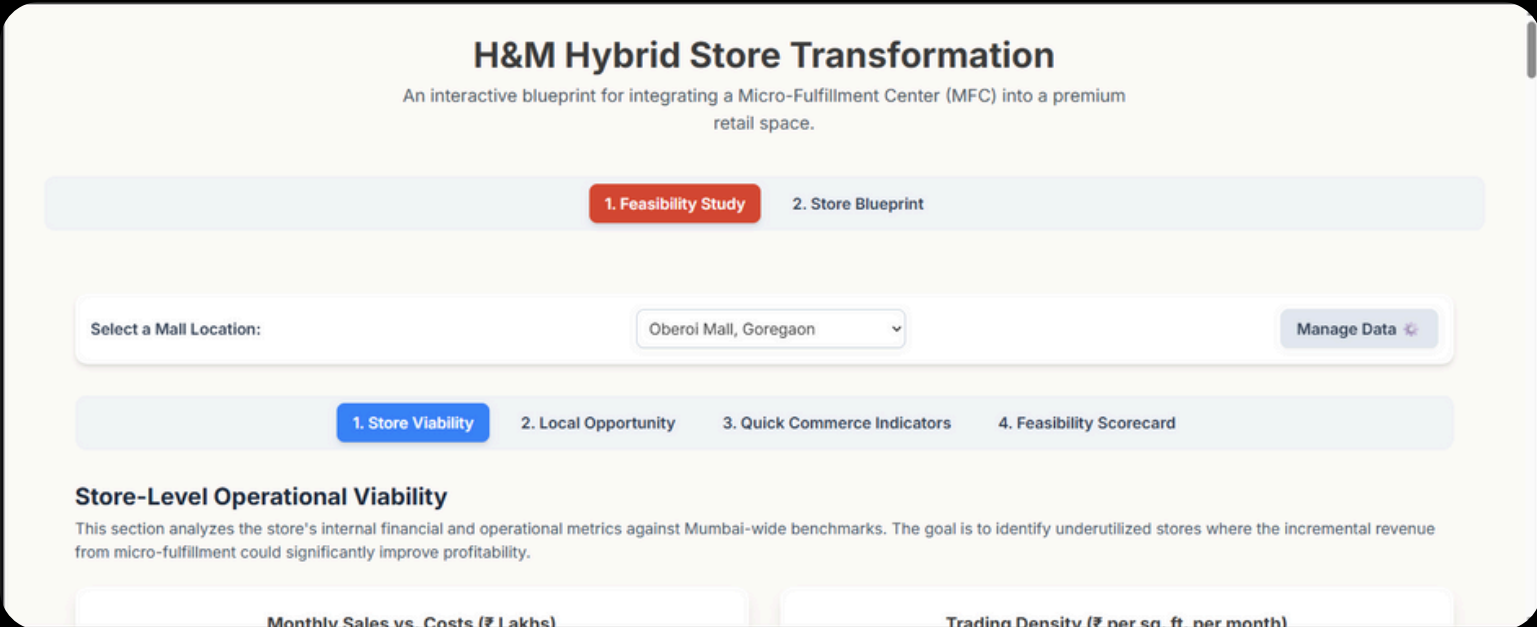
Click to
Access

Use Case

To explore the viability and implementation of the "Mall 2.0: Hyperlocal Fulfillment Hub" concept, we will examine its application through the lens of an H&M store located in a **Mumbai** malls (as our pilot city). Our analysis will cover critical aspects:

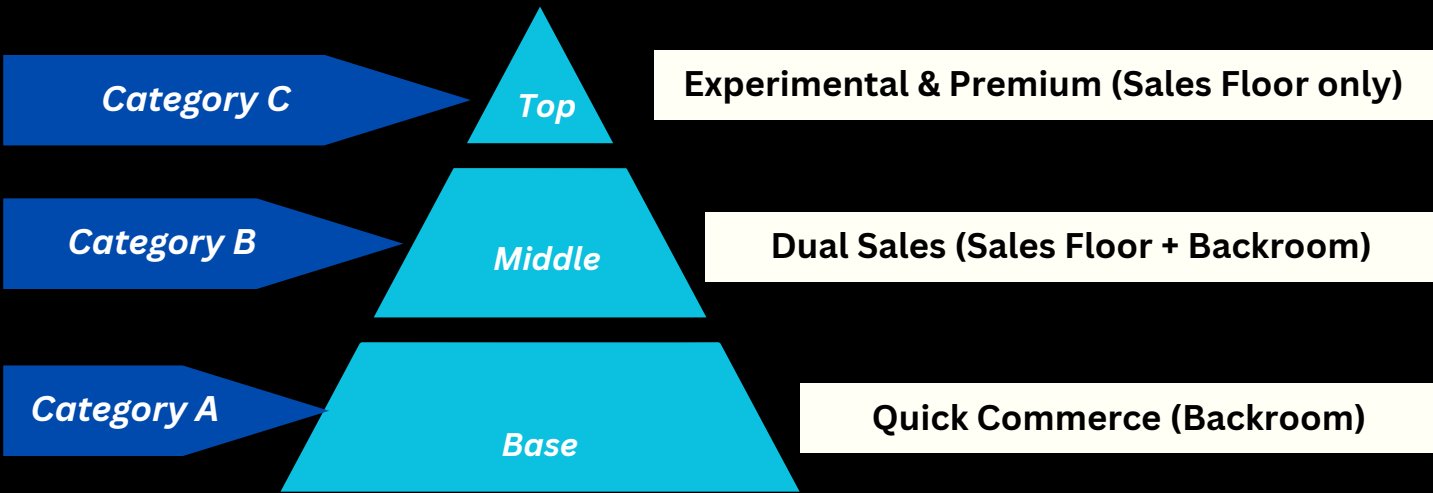


- *Feasibility Assessment: Evaluating the overall viability and potential for success of this hybrid model.*
- *Optimized Store Layout: Designing the physical space to seamlessly integrate retail and micro-fulfillment operations.*
- *Integrated Inventory & Staff Management: Developing efficient strategies for stock allocation, order processing, and staff utilization.*
- *Streamlined Reverse Logistics: Crafting an effective process for returns that balances customer convenience with operational efficiency.*
- *Go-to-Market Strategy (GTM): Determining the most effective approach for launching and scaling this innovative model.*



Product Categorization Visual

3 Tier Pyramid Inventory Categories (A,B,C)



Category	Characteristics	H&M Examples	Fulfillment
A: Dark Store	Impulse, online-only, minority sizes	High demand Basics, online-only, bundles.	Quick Commerce (1-2 hr)
B: Dual	Fast-moving, seasonal, new arrivals	Trendy apparel, seasonal bestsellers	Store + Online
C: Floor Only	Experiential, premium, bulky/fragile items	Premium collabs, formal wear, large home decor	In-store only

SOP Workflow Diagram



- **Scheduling:** Use dynamic scheduling based on foot traffic and online order forecasts.
- **Off-Peak Efficiency:** Schedule batch picking for online orders during off-peak hours (e.g., mornings before opening).
- **In-Store Experience:** Use a rotation system for duties and designate a specific area for online order pickups to prevent disruption to in-store shoppers.
- **Extra Activities:** Conduct regular inventory audits, maintain an organized backroom, and empower staff to resolve fulfillment issues.

Technology Integration

Unified Inventory Management System (IMS)

- **Single, real-time view of inventory across all channels** (stores, warehouses, online)
- **Features:** Real-time stock sync, location-based tracking, RFID/barcode integration, and OMS connection.
- **Recommended Software:** Oracle Retail, SAP Business One, SkuVault, or Unicommerce.

AI-Powered Inventory Optimization

- **Demand Forecasting:** AI models predict demand using sales data, local trends, and climate data to prevent overstocking and stockouts.
- **Dynamic Stock Optimization:** Algorithms allocate products to each store based on real-time trends.
- **Recommended Software:** Increff or Onebeat.

Automation and Robotics

- **Modular robotics for backroom tasks** like picking, packing, and sorting to improve efficiency and reduce errors.

Staff Management

- **Increase or reallocate staff for fulfillment duties**, especially during the initial rollout and peak seasons.
- **Designate "Hybrid Retail Associates"** cross-trained for both sales and fulfillment.
- **Create "Fulfillment Leads"** to oversee online orders and mentor other staff.

- **Comprehensive training on brand values, product knowledge, and customer service.**
- **Hands-on training for the integrated POS/IMS, handheld scanners, and Order Management System (OMS).**
- **Train staff on efficient batch picking, quality checks, branded packaging, and proper labeling.**
- **Establish protocols for smooth handover of packages to delivery partners and maintaining backroom security.**

Reverse Logistics

Expectation of Customers	Problem
Speed	A slow returns process can lead to customer dissatisfaction and a loss of trust.
Operational Complexity	Varied item conditions, non-standard packaging, and the difficulty of re-stocking, leading to bottlenecks, waste, and inaccurate real-time inventory.
Low Cost	For low-value items, the cost of processing a return (e.g., sending a courier to pick up the item) can often exceed the value of the product itself.
Freedom	Practices like "wardrobing" (buying and wearing an item with the intention of returning it) are a significant problem, especially in the fashion industry.

Our Solution(two-tiered approach)

T1

In-Store Exchange(Come to mall and Exchange)

FREE

- Increased Footfall and Sales: Customers visiting the store to make a return or exchange are more likely to make an impulse purchase. This turns a costly returns process into a revenue opportunity.
- Instant Gratification: Customers get immediate credit or an exchange, fulfilling the expectation of speed that is central to the quick commerce model.
- Efficient Inventory Management: Products can be inspected and restocked on the spot.

T2

Paid Pickup and Return

- Cost Management: This fee helps offset the expenses of last-mile courier services for returns, protecting your profit margins from the high costs of reverse logistics.
- Reduced "Wardrobing" and Fraud: A return fee acts as a minor deterrent for fraudulent returns, such as "wardrobing," where customers buy an item to wear once and then return it.
- Cannibalization Control: This option helps maintain a clear distinction between the premium, speedy service of quick commerce and the traditional, often slower, return policies of existing online channels. Customers who are unwilling to pay for the convenience of a home pickup may opt for standard online shopping, reducing the risk of cannibalizing your other sales channels.

Go-To-Market Strategy- Partner with 3PL

zepto

blinkit

Strategic Distribution Partnership

- Established Hyperlocal Network
- Operational Efficiency10-20 min deliveries
- Access to a Prime Customer Base
- Rapid Scalability
- Data-Driven Insights- Leverage there Technology.
- Co-Branded Marketing and Promotion

GTM Strategy Matrix

Relative Advantage

Compatibility

High

High

Premium Pricing

Market Positioning

- High Relative Advantage: Speed: Delivers fashion in minutes, a significant leap in convenience over traditional e-commerce. Assortment: Offers a wider range of products than a single store, bridging online and offline.
- High Compatibility: The model seamlessly integrates with the fast-paced, digital-first lifestyle of urban consumers. It's a natural and convenient extension of existing shopping behaviors.

Execution and Promotional Campaigns

- Launch Campaign: "H&M in Minutes" Phase 1 (Informative): A splash screen and dedicated banner on the partner app announcing the new service. Clear, concise messaging on the delivery promise, product availability, and easy ordering process. Phase 2 (Emotional): Launch a series of short, engaging videos on social media and the partner app. These videos will depict real-life scenarios where H&M's quick delivery service is a "style savior" (e.g., getting the perfect outfit for an impromptu dinner or a forgotten birthday gift).
 - Ongoing Promotions: Exclusive In-App Offers: Partner with the quick commerce platform to offer exclusive deals. Loyalty Integration: Integrate H&M's existing loyalty program (e.g., H&M Membership) with the quick commerce app, allowing members to earn and redeem points on their instant deliveries

Feasibility Dashboard

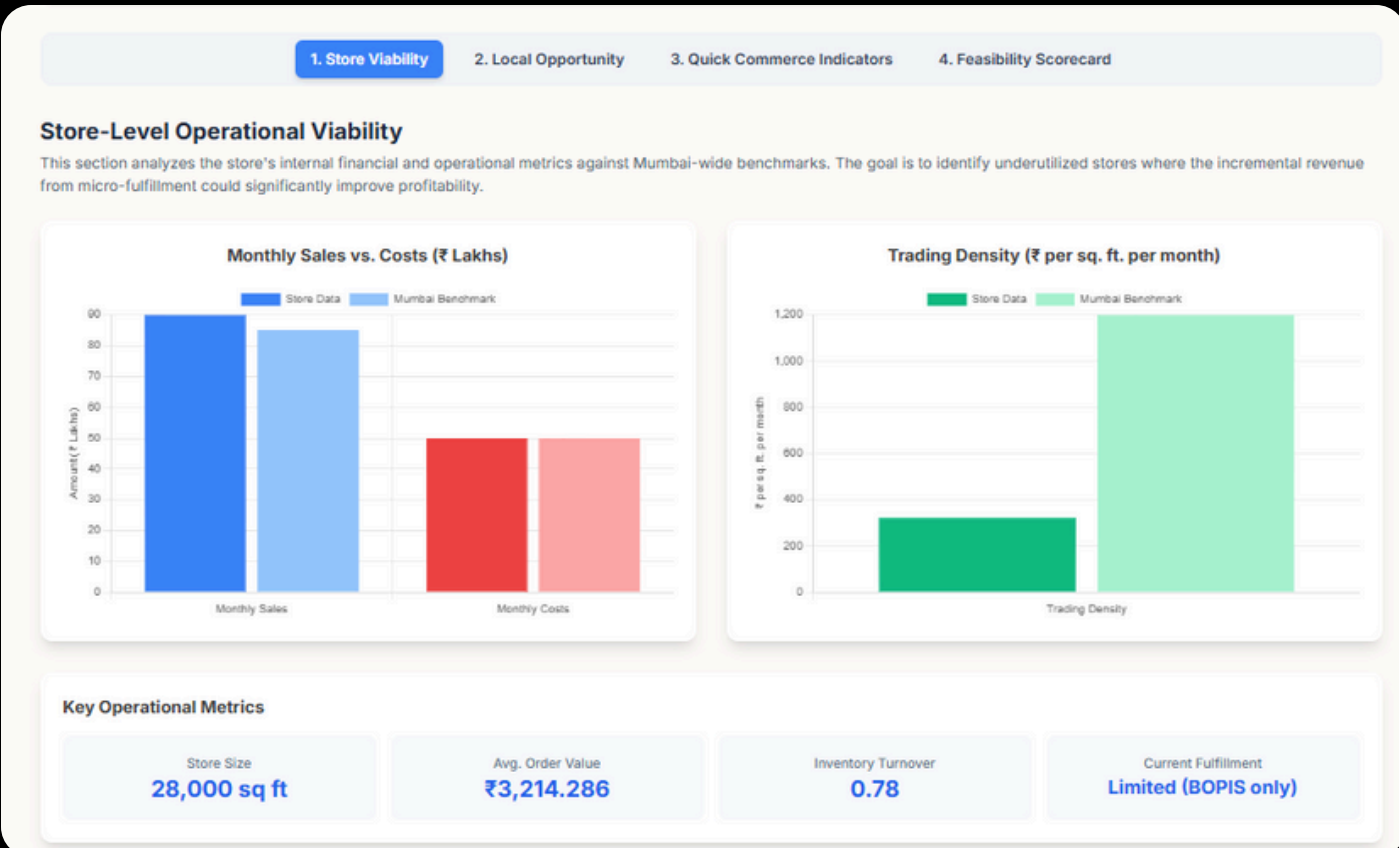
Metric	Weight	Score (1–5)	Weighted Score	Rationale
Trading Density	20%	1	0.2	Store’s trading density (₹321/sq.ft) is significantly below the benchmark (₹1200/sq.ft), indicating underutilized space ideal for MFC conversion.
Operating Efficiency	18%	3	0.54	While still profitable (₹40L vs. ₹35L benchmark), the slightly lower inventory turnover (0.77) than ideal affects long-term cost optimization.
Footfall Efficiency	16%	4	0.64	High footfall (avg. 21.3k) and a strong local Q-commerce presence suggest potential for hybrid model success.
Dark Store Reach	16%	5	0.8	Excellent population density (64k/sq.km) and low last-mile costs (₹100) make it ideal for dark store operations.
Online Conversion	10%	4	0.4	Online conversion of 3.2% is strong, though slightly less impactful for hybrid success than other factors.
Repeat Purchase	10%	4	0.4	A 35% repeat rate is above benchmark, though improvement in retention initiatives could drive further gains.
Retail Migration	10%	4	0.4	A 15% migration rate supports omnichannel readiness, though full adoption is still growing.
TOTAL	100%		3.7	Overall Feasibility Scorecard This scorecard synthesizes all data points into a high-level recommendation. It provides a quick visual assessment of the store's potential as a micro-fulfillment center, highlighting its strengths and weaknesses.

The location shows outstanding market opportunity and digital readiness. The primary challenge is the low trading density, which the MFC is designed to solve. This makes Oberoi Mall a strong candidate for a pilot, with a focus on leveraging the MFC to boost overall store revenue and profitability.

Feasibility Scorecard: H&M Oberoi Mall

Final Recommendation: Recommended with Caution (Score: 3.7 / 5.0)

Metric	Description
Trading Density	Revenue generated per sq.ft. Lower value suggests underutilized retail space, ideal for partial conversion to micro-fulfillment center (MFC).
Operating Efficiency	Measures profitability and inventory turnover. Higher efficiency indicates better resource utilization and cost control.
Footfall Efficiency	Measures the store's ability to convert high in-store footfall into effective retail or Q-commerce demand.
Dark Store Reach	Assesses delivery cost and population density in the catchment area—critical for optimizing last-mile logistics.
Online Conversion	% of local online visitors who make a purchase. Indicates the area's readiness for Q-commerce or hybrid shopping models.
Repeat Purchase	Frequency of repeat transactions. Reflects customer satisfaction, loyalty, and sustainability of online operations.
Retail Migration	Shift of customers from in-store to online. Higher rate suggests openness to digital-first or hybrid commerce models.



Note: The data is synthetic for demonstration purposes; hence, we have ensured that there is provision for inputting your correct mail data for accurate calculations.

MFC Darkstore

- **Purpose:** A dedicated, customer-free fulfillment zone designed for maximum efficiency.
- **Space Allocation:** 17.5% of the total store area.
 - **Calculation:** 28,000 sq ft (Total Store) * 17.5% = 4,900 sq ft.
- **Layout Breakdown:**
 - **MFC Storage (~8-10%):** High-density, vertical storage for quick-access inventory.
 - **Picking Area (~3-4%):** Optimized for efficient batch and cluster picking, with Pick-to-Light (PTL) technology.
 - **Packing Stations (~2-3%):** 2-3 ergonomic stations for packing and quality control.
 - **Dispatch & Staging (~2-3%):** Swift handover area for last-mile delivery partners.

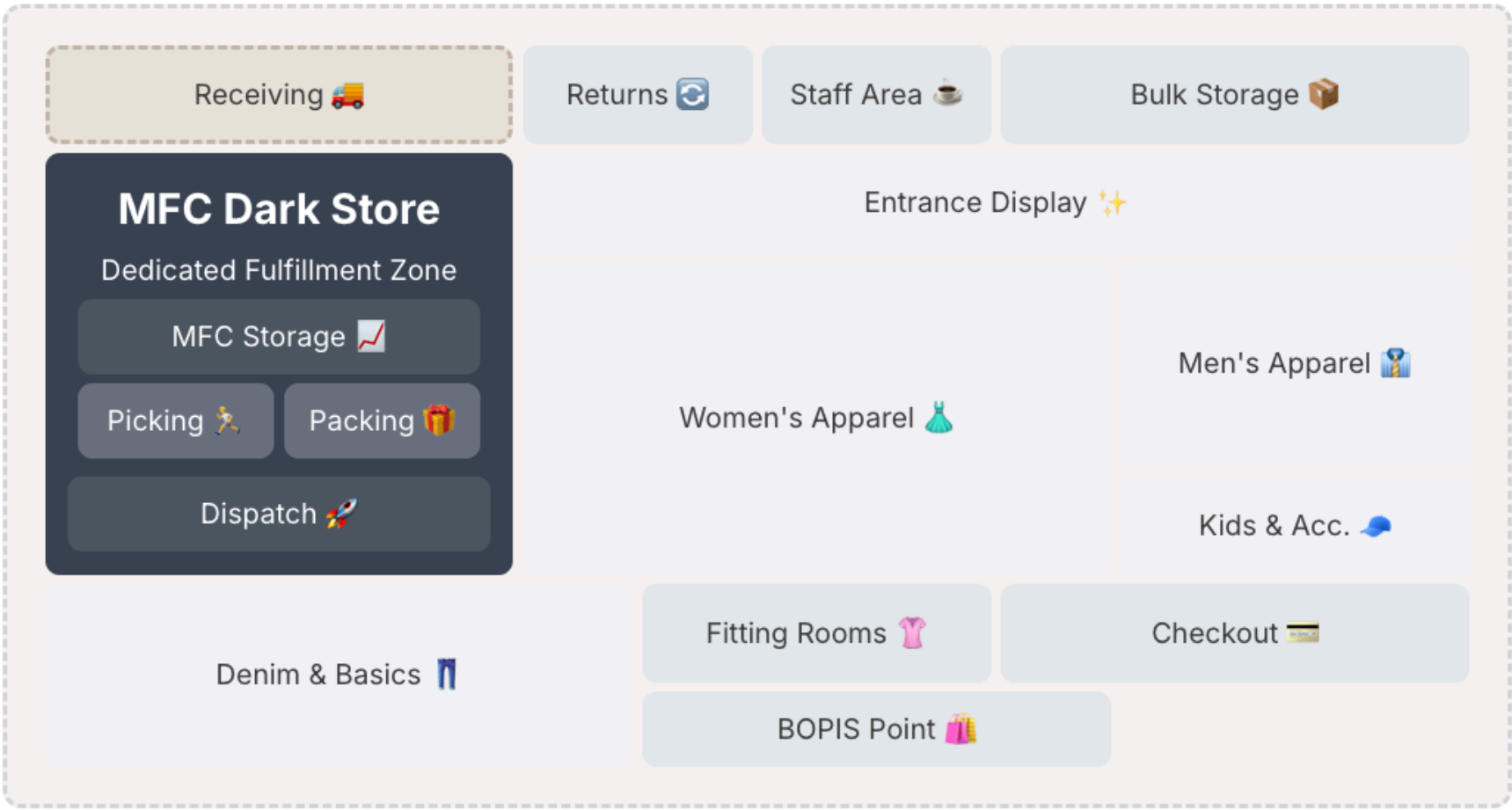
How We Calculated the 17.5% MFC Conversion

- **Industry Benchmark:** The 17.5% figure represents a mid-point within the typical **15-20%** range for MFCs in high-cost, high-density urban environments.
- **Justification:** This range, cited by industry experts and publications like Dematic and Supply Chain 24/7, aims to strike a balance between creating a highly productive operational hub and avoiding an excessive real estate burden.

Size Constraint: The resulting **4,900 sq ft** MFC falls within the commonly cited benchmark size of **3,000 to 10,000 sq ft**, ensuring a compact, yet effective fulfillment center.

Interactive Store Blueprint

Click on a zone to explore its detailed layout and operational plan. This is a conceptual map designed to illustrate flow and space allocation.



**** This conceptual blueprint models a hybrid store for Oberoi Mall, Goregaon**



Order Batching

Zone Picking

Zone picking allows the store to divide its inventory into logical zones

Dedicated MFC Inventory Zone

Main Stockroom

Sales Floor

Dedicated "MFC Leads" or "Hybrid Associates" specializing in zone picking can achieve high speed for quick commerce items. This zone picking model complements wave picking, allowing the OMS to create parallel pick lists for different zones and multiple pickers to work simultaneously, significantly speeding up fulfillment. This specialized approach scales with demand and minimizes disruption to the in-store customer experience by localizing most fulfillment to the backroom.

Store inventory is divided into logical zones (dedicated MFC, main stockroom, and sales floor) and pickers are assigned to specific zones to minimize travel time and increase efficiency.

Benefits of Binkit/Zepto (3PL)

Category Expansion & Increased Assortment:

- H&M partnership diversifies platforms beyond groceries into high-value fashion.
- Attracts new user segments, enhancing overall appeal and competitiveness.

Elevated Brand Image & Premiumization:

- Association with H&M, a global brand, elevates the platform's perception.
- Attracts more affluent customers and encourages higher-value purchases.

Enhanced Customer Engagement:

- Offering instant fashion delivery creates a novel, highly satisfying experience.
- Increases app usage frequency and builds stronger customer loyalty

Strategic Network Density & Asset Utilization:

- Leveraging H&M stores as fulfillment points adds a dense network without a platform's capital cost.
- Increases efficiency by utilizing existing, strategically located inventory.

Increased Delivery Volume:

- Higher sales from a premium brand like H&M lead to more orders.
- Increase the Average Order Value , as More premium brands now will sell their products.

Stakeholder Analysis

Mall Management (e.g., Phoenix Palladium Management)

- Increased Footfall (Indirect): While the MFC doesn't directly bring in shoppers, it keeps the H&M store viable and potentially makes the mall more dynamic. A thriving anchor store reduces vacancy risk.
- New Revenue Streams (Potential): Mall management might explore charging a small fee for last-mile delivery partners using mall facilities (parking, designated pick-up points), or offer premium services to MFCs.

Local Community / Residents (in the quick commerce radius)

- Increased Convenience: Access to H&M products delivered quickly to their doorstep, especially for those unable or unwilling to visit the mall.
- Job Creation: While the H&M store staff are existing, the quick commerce model supports jobs for the 3PL delivery riders in the local area.

H&M Corporate / Global Strategy Team

- New Revenue Channel: Demonstrates the ability to tap into the booming quick commerce market, generating incremental revenue and improving profitability per square foot.
- Increased Market Share: Captures market share in a new, fast-growing segment (quick commerce fashion).
- Brand Relevance: Positions H&M as an innovative, customer-centric retailer adapting to evolving consumer expectations for speed and convenience.
- Optimized Asset Utilization: Maximizes the value of existing retail infrastructure, turning a potential liability (underperforming space) into a strategic asset.

Dark Store Layout



THANK YOU

COVID 19 Impact
Mall Economy India
Declining mall footfall
Need to have brand stores
Problem Statement

5 objectives and explain

Product Selection Criteria
SOP
Technology Integration
Staff Management for new model
Order fulfillment and reverse logistics

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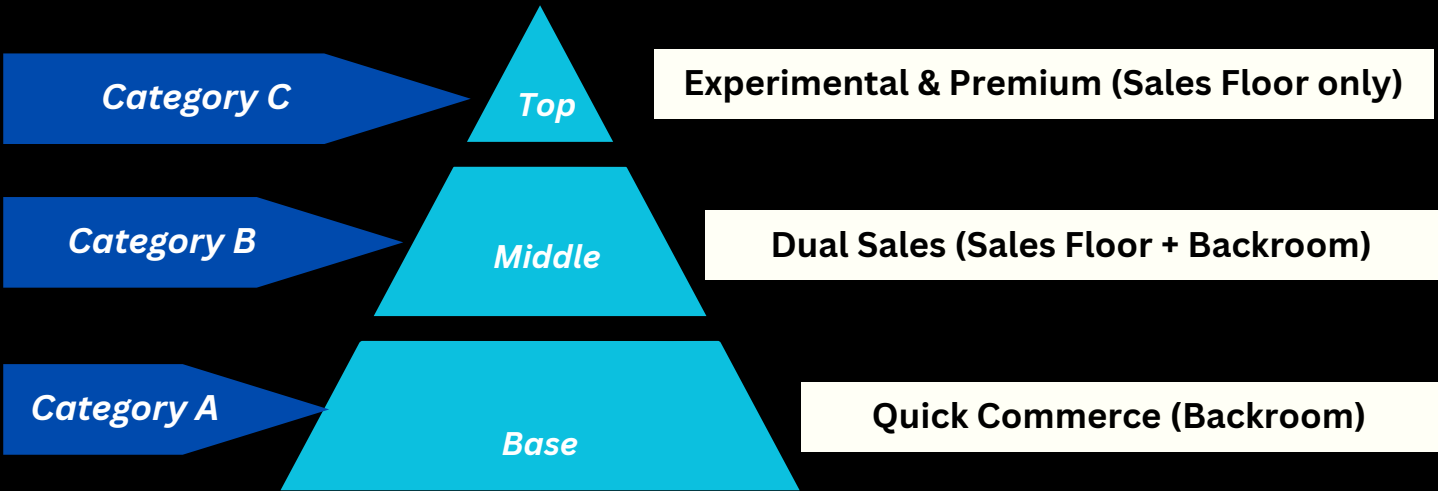
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